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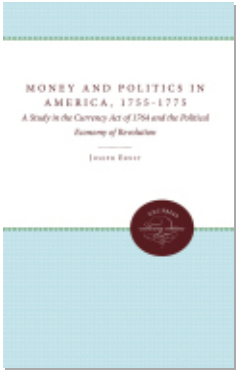
Money and Politics in America, 1755-1775

Joseph Ernst



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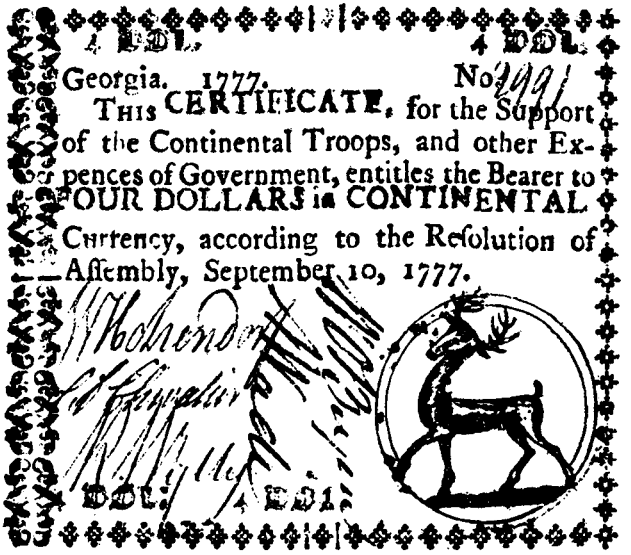
Part Four
Coda


4 DOL. 4 DOL.
Georgia. 1777. No 1991
THIS CERTIFICATE, for the Support of the Continental Troops, and other Expences of Government, entitles the Bearer to FOUR DOLLARS in CONTINENTAL Currency, according to the Resolution of Assembly, September 10, 1777.
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Chapter 11

The Political Economy of Revolution

Historians of colonial currency have been preoccupied with the *visible* money supply. How much coin there was in circulation, how much paper was struck, how much issued, how much sunk, how much was outstanding, and the extent to which all of this affected the larger economy are characteristic questions. And it must be conceded that these concerns fairly reflect the views of the colonists. The amount and kind of money in the monetary stream and its impact on economic activity was an overriding interest of the people of the time.

Undoubtedly the many and serious problems associated with the visible money supply help to explain this preoccupation. A lack of any gold and silver mines in British America, the failure of imperial authorities to provide the colonists either with a local coinage or with the sort of continental currency Benjamin Franklin and others from time to time had advocated, the inability of the Americans to accumulate coin in the normal course of trade, and the inconvenience and inefficiency of commodity money comprised one set of difficulties. An increase in the overall demand for money following a business upsurge, population expansion, and military activities, especially after Queen Anne's War, constituted another. The greater specialization of the marketplace that seems to have taken place after mid-century also contributed to a growing demand for monetary expansion.

Ironically the "solution" to these problems, the colonial currency system, had little to do either with British neglect of monetary requirements or with rapid economic growth in America. Instead, the

colonial currency system developed mainly in response to urgent financial and credit demands. The need to cover rising costs of administration and of war and to provide a public source of agricultural and business credit were the principal reasons for the creation of a system of "currency finance" and of land banks. As a result colonial currency practices were governed by financial as well as purely monetary considerations.

Historians have been quick to recognize this mixed character of the colonial currency system. And several good institutional studies of the complex origins and operation of "currency finance" and of the loan offices already exist. But monetary historians have been primarily interested in the question of the relationship between the currency supply and economic fluctuations in the period. Here again one sees a tendency to conceptualize colonial currency problems in present-day terms. It is well known, for instance, that some colonists believed that the only "sound" money was specie, that any system of fiat money was fundamentally unsound. Certain nineteenth-century monetary historians who shared this view of the evils of paper currency condemned colonial monetary practices on precisely these grounds. Recent scholars, however, have rarely been so crude in their assumptions. And in any event they have been more concerned with another colonial view: that plenty of money made trade easy.

That plenty of money made trade easy was a widely held though not unqualified belief. For most colonists it meant that there had to be enough currency in the monetary stream to cover the exchange of goods, ease the payment of domestic debts, and provide a normal amount of elasticity in periods of ordinary and predictable market and seasonal strains on existing money stocks. The belief conveyed, too, the idea that the visible money supply should at least match the rise in business activity at the time. In short local governments were responsible for providing for the usual transaction and liquidity demand for money.

For other colonists a policy of monetary expansion under government auspices signified a temporary program of "easy" money for the remedy of business slumps. This is not to say that contemporaries believed in a system of cheap money. They did not, at least not in the sense that we associate that term today with conditions of low interest rates. Rather, whenever local markets were badly glutted or sales were down, the conventional wisdom taught that

moderate injections of paper money into the economy stimulated short-run changes in the pattern of spending.

Present-day monetary historians have accepted that some kind of colonial fiat money system was indeed necessary. The ordinary marketplace demands for money in a rapidly developing economy had to be met. But these historians have divided in their views of the wisdom and success of colonial attempts to use paper issues to affect economic behavior in the other sectors of the economy. Some have postulated the simplest kind of quantity theory of money to be found in textbooks on money and banking. Ignoring everything except the expansion of the paper money supply, they have discovered what their classical economic model had prepared them for: that the only effect of increasing the currency supply was inflation in the general price level (especially as reflected in rising sterling exchange rates) and that the effect of contraction was deflation. By contrast other historians of colonial currency, echoing a point of view prevalent in the 1930s and 1940s among self-styled Keynesians, have found instead that the Americans were remarkably successful in using paper emissions in a conscious Keynesian-like effort to overcome economic depression.

The conclusions of this study differ sharply from these traditional views of the colonial currency system. It is true that there were problems associated with the visible money supply. And they were recognized as such by contemporaries. But there were other monetary questions that the people of the time either failed to identify or misjudged. Recent scholars have often missed this point. "Replicating" the past is not the same as understanding it, even when monetary historians have been ready to use advanced models of explanation.

Sources of Monetary Behavior

The fact remains that students of colonial currency have shown a surprising reluctance to extend their discussions beyond the traditional question of the visible money supply—to include questions of credit and capital flow. Yet, as the present work has tried to show, it is impossible to understand monetary behavior in the period without coming to grips with the close links between visible money, debt, and credit. Furthermore, in their concern with the impact of the visible money supply on the larger economy, modern writers

have also demonstrated a remarkable lack of interest in the other side of the question—the effects of the larger economy on money. According to the view expressed here, it was this effect rather than the traditional problems of the currency supply that explains monetary "crises" and developments in eighteenth-century America.

An example is the question of money as liquidity. While changing liquidity demands were a normal outgrowth of colonial economic activity, the liquidity problems that plagued the Revolutionary generation arose out of the disruptions in the colonial business structure. These disruptions in turn were caused by the rapid expansion of the Atlantic marketplace in the half-century before Independence. After 1750 dynamic developments within the British economy gave rise to a growing spread between colonial exports to Britain and British exports to the colonies, and as American businessmen availed themselves of increased English and Scottish credit to expand their British purchases, there was a quantum jump in American debt. In addition these new "loans" were quickly passed on to the colonial consumer in the form of book credit to become a major part of the colonial money supply.

Inevitably, when British houses cut back their credit and repatriated their colonial assets, as they did during the financial crises following 1763 and 1772, much of this new credit-money was wiped out. The drain on hard money proved equally severe when coin was swept away to Britain in the form of remittances. Likewise the amount of sterling bills available, at least in the staple colonies, would be sharply reduced at the very time the demand for such bills rapidly increased. An abrupt and general contraction of money, a vast increase in the demand for remittances, and a consequent hike in sterling exchange rates was the result. As merchants on both sides of the Atlantic dunned for debts, a rush for liquidity and a cry for monetary relief invariably occurred. This was a predictable, if ineffectual, response to the problem. Increasingly dependent after mid-century on British "loans" for closing the gap in the balance of payments, and increasingly sensitive therefore to fluctuations in British credit and capital markets, colonial merchants and planters were attempting to use local currency systems in an effort to provide liquidity and to protect their interests.

This widening spread between imports and exports and the growing reliance on British credit placed other strains on the monetary system. The spiraling of exchange rates in Virginia after 1763, which members of the trading and planting community falsely attributed

to an oversupply of paper currency, was one of these. The collapse of real estate values in the mid-1760s was another. When demand for liquidity significantly increased in the period, realty prices tumbled, threatening all economic classes. Real estate provided the basic security for American debts, and as John Dickinson pointed out, in the rush for liquidity "reputable freeholders" found it "impossible to pay debts which are trifling in comparison to their estates. If creditors sue, and take out executions, the lands and personal estate, as the sale must be for ready money, are sold for a small part of what they were worth when the debts were contracted. The debtors are ruined. The creditors get but part of their debts, and that ruins them. Thus the consumers break the shopkeepers; they break the merchants; and the shock must be felt as far as *London*."[1] The cry went up for more money.

A final example is the dumping of dry goods on the American market. After 1750, taking advantage of favorable trade and market conditions at home, British suppliers increasingly unloaded their wares on the colonies. This was accomplished not only through liberal offers of credit to established merchants in colonial ports but also through auction sales and the setting up of new outlets in the form of many new and marginal importers. Consequent depressions in dry goods and related sectors threatened the very existence of the older and larger merchants and gave rise to continued complaints about the scarcity of money.

That these relationships between money and credit, as well as between the long- and short-run changes in the Atlantic economy and monetary behavior, were not fully comprehended by the Revolutionary generation is not surprising. The merchants, planters, artisans, or farmers who probed the workings of the colonial economy were rarely theorists. For the most part they functioned as businessmen who seldom rose above short-term considerations. Whatever their theoretical shortcomings, however, contemporaries were able to reduce the movements of the economy to a recognizable pattern. Their response to the Currency Act of 1764 suggests that their understanding of the linkages between money and the economy rested upon a relatively few practical assumptions and concerns growing out of daily business experience.

The failure of monetary historians to identify and to analyze these relationships is less easy to understand. Probably, as we have seen,

1. Paul Leicester Ford, ed., *The Writings of John Dickinson* (Philadelphia, 1895), 227–228.

this failure has to do with a ready acceptance of traditional monetary theories and of contemporary definitions of the problems concerning the visible money supply. But it may also reflect the paucity of realistic or adequate studies of the eighteenth-century economy. This point is fundamental. It lies at the heart of the failure of scholars to recognize the economic situation in the Revolution.

Students of the colonial economy have generally focused on the organization of business in the great ports of colonial America, on the economic functions or power relations of the merchant class, on the production and distribution of at least one staple export, tobacco, and on "mercantilism" and its putative effects on the well-being of the colonists. In addition a few earlier works have centered on the economy of a particular colony, but always while viewing it in a static way and from inside that colony's political boundaries. Money, trade, agriculture, and manufacturing have usually been handled as if they were separate and distinct and had only a passing relationship to one another.

More recently the rage has been for the study of economic growth, for "cliometrics," and for the formal, conceptual approach of the economist. All authors in the past have employed some statistics in their work. But only recently have some been systematic in their use. And only recently have very large claims been made for statistics. The truth is that neither the old economic history nor the new has told us very much about the shape, the feel, or the functioning of economic life in colonial America. As a result, until we have studies describing, detailing, and analyzing that economy in all its complexities, our conclusions about the role of money, or about any vital and interesting economic problem, must be crudely put and taken only as tentative and suggestive. In particular we need a host of regional and dynamic studies of both the long- and short-run fluctuations in the various sectors of the colonial and Revolutionary economy and of the interconnections between these sectors. In this regard a wealth of material, both quantitative and nonquantitative, is to be found in business correspondence and business records, sources that only a handful of historians have as yet exploited. Legal records, official documents, private diaries, newspaper reports, and travel accounts are only slightly less valuable.[2]

2. The preceeding paragraph is drawn from a paper, "Southern 'Worlds' in the Atlantic Economy," that H. Roy Merrens and I presented at the South Carolina Tricentennial Celebration, Mar. 1970, Columbia, S. C.

While based upon such materials, this study cannot claim to have exhausted them. They are too voluminous. My concern here has been with the broad tendencies and the characteristic features of the regional economies of the time. The somewhat more detailed economic discussions take up the specific phenomena of supply, demand, and price; they deal, that is, with the network of exchange and credit transactions in the eighteenth-century Atlantic marketplace wherein the colonies functioned as both a supplier of foodstuffs and raw materials and a consumer of European, and especially British, manufactures. But what is needed is further research and a more highly refined analysis of colonial economic behavior and of the interrelationships between money and the economy.

Money and the Political Economy of Revolution

It is against the background of these monetary conditions and objective economic circumstances, as well as of the contemporary perceptions of the situation, that the problem of currency and the political economy of the Revolution is to be approached and understood. Thus the parliamentary enactments and royal policies after the end of the French and Indian War for the regulation of currency did not operate in some economic void or in a mythical state of economic equilibrium to be contemplated by minds steeped solely in the literature of eighteenth-century history and political theory. Instead these regulations were interventions in the Atlantic economy at a time of profound internal structural change and crisis. Their impact is to be seen in the light of their effect on the fortunes and formulations of the economic and political elites that ruled the colonial political sphere and played a major role in the colonial marketplace. In broad terms these elites included the merchants and planters. Their farmer and artisan constituents, lacking power, played a far less conspicuous role.

The impact of these interventions on the British suppliers and creditors is equally important. It may be safely assumed that British merchants were no less fully aware of their economic interests and no less determined to have control over their economic destinies than their American counterparts. Viewed in this light, the Currency Act of 1764 appears as a move to safeguard British investments in America, a move dictated by metropolitan, not colonial, needs. Similarly the seesaw battle for revision and repeal of the Currency

Act in the decade after 1764 may be seen as a reflection of the shifting interests of the elite classes in America and of their understanding of the patterns of economic change.

Ultimately these colonial elites turned to politics. Whether inside or outside the existing institutional and governmental arrangements, politics seemed to offer a remedy for their economic ills. And given their position of economic dependency, there was little else colonial interests could do. The purposes of the British merchants and creditors, on the other hand, could often be more easily achieved through normal economic processes over which these classes exercised a substantial amount of control. If at times they felt a need to ask for parliamentary interference in these processes, it was only to extend the scope of their control or to mediate between the claims of rival British interests.

In any event, once it is accepted that much of the important political activity in the Revolution represented an attempt to deal with economic crises and conditions, it must also be admitted that the greatest part of this activity—whether it took the form of assembly protest, lobbying activities in England, or nonimportation—provided only weak and partial solutions to problems at hand. Moreover, seen as a whole the structural changes in the Atlantic economy and the parliamentary restrictions on currency and trade all seemed to point to fundamental weaknesses in the British imperial system and also to reveal the extent of the British attempt at total domination of the American economy, even if the result was the extinction of established colonial interests. American economic and political leaders began therefore to adjust their views and to feel that there was another course of action open to them. As they came to feel more and more the need to rearrange their world, they came also to believe with increasing conviction that this could not be achieved within the empire.

Ideology and the Political Economy of Revolution

Whatever else it may achieve, the predictable outpouring of books and articles in honor of the bicentennial celebration of American Independence will offer a more complex view of the Revolution than has yet appeared. It seems certain, however, that any new system of explanation must take into account the realities of colonial political economy. A new generation of historians should come to recognize that the Revolutionary years were a time of repeated

economic crises. While the precise dimensions and the causes of these crises are open to debate, the affected classes in America ultimately turned to the political sphere for a solution to their problems. The outcome was an integration of economic and political concerns firmly rooted in a system of elitist politics that was essential to the Revolutionary movement. Such at any rate is the leading argument in this book.

But additional studies in the political economy of the American Revolution will not by themselves explain the causes and the nature of that singular event in American history. Any complete account of Revolutionary developments, any grand synthesis of views about the Revolution, will have to be ideological, that is, will have to deal with thought on all levels of life and with the interconnections and accommodations between these ideas and the concrete economic and sociopolitical circumstances of the period.

Discussions of the central role of ideology in the American Revolution have taken place largely within the ranks of the so-called "neo-whigs." But it may be argued that they have been ambiguous in their definition and use of the term "ideology." Generally they have taken it to be synonymous with what is conventionally meant by idealism. They have written of Americans united to defend traditional ideals and liberties against British encroachments. Their ideology is reducible to a question of principle. The considerations of interest and conflict that informed the writings of earlier historians are not an issue.[3]

But "the nature of the ideas expressed," as one historian has recently reminded us, "is determined as much by the character of the world being confronted as by the internal development of inherited and borrowed conceptions."[4] There is simply no substitute for a

3. See the discussion and bibliography in Gordon S. Wood, "Rhetoric and Reality in the American Revolution," *WMQ*, 3d Ser., XXIII (1966), 3–32. For additional references, see Jack P. Greene, ed., *The Reinterpretation of the American Revolution, 1763–1789* (New York, 1968), 2–59.

4. Wood, "Rhetoric and Reality," *WMQ*, 3d Ser., XXIII (1966), 24. In his discussion of the role of ideas in the Revolution, Wood understands ideology generally to mean a body of ideas seen in their political and social context. Opposed to his view is the more simplistic notion of ideas as rationalization or propaganda, which Wood ascribes to the Progressives, or as idealism, which he ascribes to the neo-whigs. Curiously, in his own formulation Wood omits the economic side of ideology, although he clearly feels that ideology properly defined involves the interaction of thought and the empirical circumstances of an age. On the other hand it is also apparent that the omission of the economic realities of the Revolution permits him to discover an irrationality in the conduct of the patriots, to discover, that is, patterns of behavior dictated by insecurity and anxiety as opposed to rational con-

continued analysis of the subtle dialectic between the perceptions of men and the conditions of life, between thought and action. Nor will it do to insist in the face of the mounting evidence of severe economic crises during the Revolutionary period that the strains in colonial society were minimal.

And we shall have to know more about the ideas of other groups than simply the commonwealthmen.[5] The categories of thought they passed on to American political leaders were inadequate to any understanding of the problems of political economy. More to the point are the ideas of Adam Smith's and Max Weber's "economic man," of the merchants, mechanics, farmers, and planters. These were ideas that achieved their expression on a lower level of historical abstraction. Nonetheless it was these marketplace views that served to illuminate the weaknesses in the British imperial system and the risks to established colonial interests inherent in the changes taking place in the Atlantic economy after mid-century.

If ideology is to be seen as the interplay between historical awareness and the thoughts and theorizing of the Revolutionaries, on one hand, and the events and conditions of the concrete reality of the period, on the other, then historians of the American Revolution will have to return for their models of explanation to the traditions of Marx, Weber, and, closer to home, of C. Wright Mills.

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siderations of concrete economic events and conditions. Consequently Wood ends up advocating not an ideological but a "psychologizing" approach to the period. It is interesting to note that John Higham in his discussion of historiography advocates this same approach; see *History* (Englewood Cliffs, N.J., 1965), 87–232.

5. See the introduction in Bernard Bailyn, ed., *Pamphlets of the American Revolution, 1750–1776*, I (Cambridge, Mass., 1965).